

Organizational Infrastructure Benchmark

How the strongest institutes build their foundations, measured against where Luminara stands today, with the moves that close each gap. Prepared for Branding & Outreach.

EXECUTIVE SUMMARY

Luminara's legal foundation is real and current: a Washington nonprofit corporation (UBI 606 219 823, effective May 7, 2026), initial report filed, EIN obtained, an active community running weekly programs, and a founding CODEX whose ethical commitments are stronger than most mature institutes publish. That is more than many organizations have at four months old.

Measured against the standard set by the organizations Luminara itself cites as precedents, and by Washington law and accepted nonprofit governance practice, seven gaps stand between the current state and a to-standard foundation. None requires months. Most trace to a single root: **the organizational meeting has not yet happened**, so the public-facing organization (nine board members, the program structure, a charter) runs ahead of the organization of record (two governors, draft bylaws, a discussion-draft CODEX).

1. **Board of record vs. board record.** The filed record shows two governors; nine people are publicly titled board members. A board vote is reported done or imminent (late August): what's missing is the paper trail: minutes, adopted bylaws, attested signatures. Until those are filed, the election exists in memory, not in the record.
2. **Bylaws unadopted.** Open brackets remain; nothing has been formally adopted or attested.
3. **No 501(c)(3) of its own.** Fiscal home is the Virtual World Society with no documented sponsorship agreement or exit plan on record.
4. **No financial controls.** No adopted policy covers signatures, approvals, reconciliation, or segregation of duties.
5. **Roles unratified.** Program leads, officers beyond the filing, and member intake all run on de facto arrangements.
6. **Claims exposure.** Healing and wellbeing language on the website and in HeartBeam materials is unswept against the FTC's health-claims standard.
7. **Identity in transition.** Mail runs on a VWS address, the site mixes eras and spellings, and the charter link points to an unadopted draft.

Sections 1–7 give the standard, the current state, and the closing moves for each. The companion documents (peer comparison matrix, build-days checklist, and board deck) operationalize this report.

CURRENT STATE OF RECORD

ITEM	STATUS
Legal entity	WA nonprofit corporation, UBI 606 219 823; Articles effective 2026-05-07; Active; initial report filed 2026-08-10. Legal name carries no ", Inc."
Board of record	Two governors of record: Thomas A. Furness III and Trond Nilsen. Nine-person board published on luminara.institute; election reported done or imminent (late Aug 2026) but not yet evidenced by minutes in the record.
Tax status	EIN in hand; bank account open. No own 501(c)(3) yet; fiscal home is the Virtual World Society.
Governing documents	Bylaws drafted with open brackets, unadopted. CODEX v0.3 published at /charter as "Discussion Draft for Founding Review."
Structure	Six divisions (Research; Technology, AI & Information Systems; Experience Architecture & World Building; Lumina Lingua; The Light School; Community Service) and four Bridge Groups, per the Codex-to-Structure deck. Website still says "working groups". Division leads unratified.
Operations	Weekly meeting cadence running since 2025. Org Workspace, Slack, and website arrived Jul–Aug 2026. Outbound mail still from lightschool@virtualworldsociety.org.

1 • Governance: seat the board of record

THE STANDARD

Every well-run institute keeps the legal record and the public story identical. Under Washington's nonprofit act (RCW 24.03A), the initial governors hold an **organizational meeting** to adopt bylaws, elect the full board and officers, and complete the organization; minutes of that meeting are the founding governance record. Washington permits a two-person board for a plain nonprofit, but a 501(c)(3) public charity needs at least three directors; best practice for an institute of Luminara's ambition is a board of five to nine with staggered terms, a president and secretary who are different people, and a conflict-of-interest policy adopted at the first meeting. BoardSource's baseline: record the adoption date of the bylaws, have the president sign and the secretary attest, and review them on a set cycle.

LUMINARA TODAY

The filed record names two governors; the website names nine board members with officer titles. A board vote is reported done or imminent, but as of the August 11 compliance review no minutes, adopted bylaws, or attested signatures were in the record, and the record is the standard: an election that isn't minuted can't authorize bank signers, policies, or filings. Whether the meeting has happened or is about to, the deliverable is the same set of documents.

TO CLOSE

If the election already happened: locate the minutes, have them signed, file them, and confirm they cover bylaws adoption and officer elections; anything they missed goes to the next meeting as ratification. If it hasn't: convene the two governors and do it all in one sitting: elect the nine-person board and officers, adopt bylaws, adopt the conflict-of-interest policy, set the fiscal year, and ratify the existing bank account and its signers. Secretary records minutes; president signs, secretary attests. Either path converts the public story into the legal record.

2 • Bylaws: close the brackets and adopt

THE STANDARD

Adopted bylaws answer, at minimum: exact legal name and purpose (aligned with the IRS exemption language to come), board size and terms (three-year terms with a two-term limit is a common pattern), removal and vacancy procedure, officer duties, quorum, whether the

organization has voting members or a self-perpetuating board, meeting notice (email notice is valid by default under RCW 24.03A; remote meetings are permitted), and the amendment procedure. Everything else belongs in policies the board can change without amending bylaws.

LUMINARA TODAY

Bylaws exist in draft with open brackets catalogued in BYLAWS-OPEN-ITEMS. The membership question is live in practice (Luminara has an active 23-person community and a member-profiles intake) but undecided in law: are members voting members under the act, or a program community under a board-governed organization? The highest-functioning peers (Santa Fe Institute, Media Lab consortium members) keep governance boards small and make community a program, not a voting class.

TO CLOSE

Resolve each open bracket with a recommendation attached (the build-days checklist enumerates them), decide the membership question deliberately (recommend a board-governed structure with "member" as a community title) and put adoption on the organizational-meeting agenda immediately after the board and officers are seated. Version the adopted text, then archive the draft lineage.

3 • The 501(c)(3) path and the fiscal-sponsorship exit

THE STANDARD

Fiscal sponsorship is a legitimate incubation stage; the standard is a **written sponsorship agreement** that names the fund, the administrative fee, the sponsor's variance power (the IRS requires the sponsor to keep real discretion and control over funds), and the termination terms: how money, grants, and assets transfer when the project spins out. Organizations that exit cleanly plan the transition six to twelve months ahead: incorporate (done), obtain EIN (done), elect a qualified board of three or more, adopt bylaws and policies, file Form 1023 (processing runs weeks to a year), register for charitable solicitation where required, Washington's Charities Program at minimum, and only then terminate the sponsorship and move assets with funder consent on any active grants.

LUMINARA TODAY

The VWS relationship is real (programs, mail identity, and public attribution all run through it), but no sponsorship agreement is on record in the vault. That means no defined fee, no defined variance power, and no defined exit. Donations solicited today ("Become a Founding Partner")

flow on undocumented terms. Two of the eight startup steps are done; the rest wait on the board.

TO CLOSE

Paper the VWS relationship now, with a short Model-A/Model-C style agreement signed by both boards, and have the new board adopt a 501(c)(3) timeline: Form 1023 filing target, WA charitable-solicitation registration, and a defined exit date for the sponsorship. Unless and until the IRS issues a favorable determination letter, every donation page must state that gifts are received via the Virtual World Society.

4 • Financial controls a two-person shop can actually run

THE STANDARD

The minimum control set for a small nonprofit, per state charity regulators and CPA guidance: no single person touches a transaction end-to-end; the person reconciling the bank account neither writes checks nor makes deposits; two approvals above a threshold (a policy the board enforces; banks won't); a general ledger from day one; monthly budget-vs-actual to the treasurer and quarterly financials to the board; and an annual property inventory. The classic 501 Commons / Clark Nuber guide frames these as eleven practices "even the smallest nonprofits" can run.

LUMINARA TODAY

Money already moves (a make-a-thon budget, event spending, partner solicitations) with no adopted policy behind it. The treasurer of record (Nilsen) exists; the control framework does not.

TO CLOSE

Adopt a one-page financial-controls policy at the organizational meeting: dual approval above \$5,000 or one percent of budgeted annual expenses, whichever is greater; treasurer reconciles monthly, a non-signing director reviews quarterly; ledger in accounting software from the first dollar, budget-vs-actual standing on every board agenda. Adopt the skeleton now; review thresholds annually.

5 • People: ratify what already works

THE STANDARD

Strong institutes write down who holds each role, who appointed them, and when the appointment ends. Program or lab leads are appointed by the board or director and recorded in minutes; intake of new members follows a documented path; and every cross-cutting project has exactly one accountable owner, however many groups contribute.

LUMINARA TODAY

Program leads are unratified: the roles document says all seats open while the May 22 deck names four under "Organization Suggestions." HeartBeam, the most active project, is claimed by four programs with no single owner. Intake runs de facto through the secretary. The structure-naming confusion is live on the public site. All of this is functioning practice awaiting a stamp, not dysfunction.

TO CLOSE

Resolutions 7 through 9: name the six divisions, settling the terminology; appoint interim leads for one-year terms; assign HeartBeam a single accountable division with the others as contributors; establish the four Bridge Groups; and adopt the intake path the secretary already runs.

6 • Claims discipline: say only what the evidence carries

THE STANDARD

The FTC's Health Products Compliance Guidance (2022) applies to anyone marketing health-related products or services, nonprofits, apps, and experiences included. Health-benefit claims, express or *implied* (names and imagery count), require competent and reliable scientific evidence, generally randomized controlled human testing. The Institute of Noetic Sciences' own hard-won lesson, quoted in Luminara's CODEX: consciousness research demands "extraordinary care in framing claims." The standard practice is a claims register (every public statement about healing or wellbeing mapped to its evidence tier) and review of new public copy before it ships.

LUMINARA TODAY

The CODEX's ethics sections are genuinely strong: explicit caution on "spiritual or therapeutic claims" is written into the founding document. Practice lags it: the Research work plan's therapeutic claim was caught and rewritten, but the sweep of other work plans is unfinished,

and the live site speaks of healing, wellbeing, and biofield sensing without qualification. The exposure is implied-claim territory.

TO CLOSE

Finish the therapeutic-claims sweep before any website content is reused. Adopt aspirational framing as house style ("exploring whether," "designed to support") over outcome claims ("heals," "improves"). Stand up the claims register and route public copy through one reviewer; this is the operational face of CODEX §20.

7 • Records, ops stack, and the identity cutover

THE STANDARD

Articles, bylaws, minutes, and the IRS determination letter are kept permanently; a written retention policy is a Form 990 checkbox and a governance signal. Operationally: organizational content lives in **shared drives** (not personal My Drive folders) so it survives departures; Google Workspace for Nonprofits is free once 501(c)(3) status lands; backups follow 3-2-1. On rebrands, the pattern from organizations that did it well: announce ahead, cut over every channel deliberately, keep a bridge line to the former name for one to two years, and give stakeholders personal notice before public launch.

LUMINARA TODAY

The record-keeping instinct is exceptional: the vault's filed set of every incorporation document exceeds what most young nonprofits hold. But the canonical record lives in one member's personal vault and scattered Drive folders; the org Workspace and Slack only arrived in late July. Identity is mid-cutover: mail from the VWS address, "© 2025 ... A Virtual World Society Initiative" in the site footer, "working groups" and "Lingua Lumina" on pages the organization has renamed and respelled.

TO CLOSE

Stand up the corporate-records shared drive in the org Workspace and deposit the filed set as its first content; adopt a short retention policy. Cut outbound mail over to @luminara.institute with the old address forwarding. Fix the site in one pass: program terminology, Lumina Lingua spelling, footer year and attribution, and The Light School named as the institute's ground school wherever lineage matters.

WHAT THE HIGHEST BODIES TEACH

Luminara's CODEX already names its precedents and the lesson each carries. The benchmark reading of those same organizations, applied to this moment:

ORGANIZATION	WHAT ITS FOUNDATION-STAGE DID THAT LUMINARA SHOULD COPY
Santa Fe Institute	Small governing board, big ideas: kept legal governance lean while the intellectual community stayed open and non-voting. Community as program, not as governance class.
MIT Media Lab	Consortium funding with standardized membership terms: one agreement pattern for all partners. Luminara's Consortium of Light needs its terms written before the first partner signs, not after. Its later governance failures also show why gift-acceptance policy is foundation-stage work.
Institute of Noetic Sciences	Fifty years of consciousness research sustained by claims discipline: research framed as inquiry, published with methods, never marketed as therapy. The model for HeartBeam's public language.
Esalen Institute	The cautionary twin: human-potential energy without governance rigor cost it decades of credibility. Its later reform (professional board, financial controls, clearer claims) is the retrofit Luminara can build in from the start.
Bell Labs / Xerox PARC	Long-horizon research survives on diversified sustainability and planned commercialization paths; Luminara's licensable-platform strategy (CODEX §40) is right; it needs an IP-ownership policy adopted before the first prototype ships.
HIT Lab (Furness's own)	Consortium-based interface research works; mission coherence must be actively protected as commercial pressure grows. The founder's own lesson, already in the CODEX; the governance bylaws are where it becomes enforceable.
Mind & Life Institute	Bridged contemplative practice and science credibly by pairing every contemplative program with named academic collaborators and peer-reviewed output. The pattern for Luminara's Research Program partnerships.

SOURCES

Internal: LUMINARA vault (MOCs, WA-COMPLIANCE-REVIEW-2026-08-11, DECISIONS-LOG, SESSION-HANDOFF references), luminara.institute (home, /charter CODEX v0.3, /faq), WA SOS filing record UBI 606 219 823. External: RCW 24.03A (Washington Nonprofit Corporation Act); BoardSource bylaws guidance; National Council of Nonprofits and Oregon DOJ internal-controls guidance; 501 Commons / Clark Nuber "Controls for Small Nonprofit Organizations"; FTC Health Products Compliance Guidance

(Dec 2022); IRS fiscal-sponsorship discretion-and-control requirements and Form 1023 processing guidance; Google Workspace for Nonprofits documentation; nonprofit rebrand practice (Candid, Forbes Nonprofit Council). Full link list in [research/benchmark-notes.md](#).